



BEIJING ARBITRATION COMMISSION/BEIJING INTERNATIONAL ARBITRATION COURT

BAC Case No. (2019) JZA ZI 5573

BEIJING SHANGYE FILM AND TELEVISION CULTURE MEDIA CO. LTD. V. UCFTI INC. AND
ZUOHONG CHEN

ORDER OF THE UNITED STATES DISTRICT COURT FOR THE DISTRICT OF CENTRAL
CALIFORNIA GRANTING: PETITION TO CONFIRM AND ENFORCE FOREIGN
ARBITRATION ; APPLICATION FOR DEFAULT JUDGMENT

06 May 2025

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I. INTRODUCTION

- [1]. On December 2, 2024, Beijing Shangye Film and Television Culture Media Co. LRD ("Petitioner") filed a petition to enforce foreign arbitration ("Petition") against UCFTI, INC. and Zuo Hong Chen ("Respondents"). ECF Docket No. ("Dkt.") 1. The Petition seeks to confirm the December 7, 2021 award decision (the "Award") by the Beijing Arbitration Commission ("BAC") against Respondents. See id. On December 28, 2024, Respondents filed an answer. Dkt. 10. Respondents filed a corrected answer on January 13, 2025. Dkt. 12.
- [2]. On January 20, 2025, the parties filed a stipulation to strike Respondents' answer in its entirety because, as a suspended corporation, the UCFTI was prevented by law from defending against this action. Dkt. 14. The Court granted the stipulation on January 27, 2025. Dkt. 16. On the same day, the clerk entered a default against UCFTI. Dkt. 18.
- [3]. On February 27, 2025, Petitioner filed a motion for default judgment ("Motion") against UCFTI. Dkt. 17. Respondents have not filed an Opposition to the Motion. The Court finds this matter appropriate for resolution without oral argument. See Fed. R. Civ. P. 78(b); L.R. 7-15. For the reasons stated below, both the Petition and Motion are **GRANTED**.

II. DISCUSSION

A. THE PETITION TO CONFIRM AND ENFORCE ARBITRATION IS GRANTED

1. Applicable law

- [4]. Sections 203 and 207 of Title 9 of the United States Code provide jurisdiction in federal district courts for cases arising under the Convention on the Recognition and Enforcement of Foreign Arbitral Awards of June 10, 1958. 9 U.S.C. §§ 203, 207; see also 9 U.S.C. § 201 (codifying the Convention). "Within three years after an arbitral award falling under the Convention is made, any party to the

arbitration may apply to any court.. for an order confirming the award as against any other party to the arbitration." 9 U.S.C. § 207.

- [5]. "Confirmation under the Convention is a summary proceeding in nature, which is not intended to involve complex factual determinations, other than a determination of the limited statutory conditions for confirmation or grounds for refusal to confirm." Castro v. Tri Marine Fish Company LLC, 921 F.3d 766, 773 (9th Cir. 2019) (quoting Zeiler v. Deutsch, 500 F.3d 157, 169 (2d Cir. 2007)). Accordingly, the Court's review of a foreign arbitration award "is quite circumscribed." China Nat'l Metal Prods. Import/Export Co. v. Apex Digital, Inc., 379 F.3d 796, 799 (9th Cir. 2004). The Court does not review the merits of the underlying arbitration, but merely whether the party established a defense under the Convention, and "[a] court must confirm a foreign arbitral award unless the party resisting enforcement meets its 'substantial' burden of proving one of seven narrowly interpreted defenses." Castro, 921 F.3d at 773 (quoting Polimaster Ltd. V. RAE Sys., Inc., 623 F.3d 832, 836 (9th Cir. 2010)).
- [6]. "The seven grounds for refusing to confirm an award are set out in Article V of the Convention." Ministry of Defense and Support for the Armed Forces of the Islamic Republic of Iran v. Cubic Defense Systems, Inc., 665 F.3d 1091, 1096 (9th Cir. 2011). Specifically, the seven defenses are:
- (1) the parties to the agreement were under some incapacity or the agreement was invalid under law;
 - (2) the party against whom the award is invoked was not given proper notice of the appointment or the arbitration proceedings or was otherwise unable to present his case;
 - (3) the award deals with a difference not contemplated by or not falling within the terms of the submission to arbitration, or it contains decisions on matters beyond the scope of the submission to arbitration;
 - (4) the composition of the arbitral authority or the arbitral procedure was not in accordance with the agreement of the parties, or, failing such agreement, was not in accordance with the law of the country where the arbitration took place;
 - (5) the award has not yet become binding on the parties, or has been set aside or suspended by a competent authority of the country in which, or under the law of which, that award was made;
 - (6) the subject matter of the difference is not capable of settlement by arbitration under the law of that country; and
 - (7) the recognition or enforcement of the award would be contrary to the public policy of that country.

See 21 U.S.T. 2517 art. V, §§ 1(a)-(e), 2(a)-(b).

2. Analysis

- [7]. The Court finds that the petition should be granted and the award against UCFTI should be confirmed.
- [8]. First, the Award was issued on December 7, 2021. Dkt. 1 at 59-74. Petitioner filed the instant action on December 2, 2024, i.e., within three years after the Award was issued, and thus, the action is timely. See Dkt. 1. Therefore, pursuant to 9 U.S.C. §§ 203 and 207, the Court has jurisdiction to confirm the Award.
- [9]. Second, Respondent UCFTI has failed to respond to the Petition or file an opposition to the Motion and, thus, fails to meet its burden of establishing one of the seven defenses provided by Article V of the Convention is applicable. Moreover, the Court independently finds the defenses inapplicable. The first defense is inapplicable because no evidence exists to support a finding that UCFTI was incapacitated or the agreement was invalid under law. The second defense is inapplicable because UCFTI was on notice regarding the December 7, 2021 arbitration proceedings; indeed, UCFTI participated in the proceedings. Dkt. 1 at 67 ("The agents of the Applicant and the Respondent I [UCFTI] attended this court hearing [the Arbitral Tribunal]."). The third defense is inapplicable because the arbitrator based his decision on the parties' Film Distribution Right Investment Contract ("Contract"), which stipulates that the parties shall submit to the Beijing Arbitration Commission to resolve any disputes. Id. at 23-32, 63. The fourth defense is inapplicable because the arbitration was "conducted according to Chapter VIII Rules on International Commercial Arbitration of the Arbitration Rules of Beijing Arbitration Commission," as stipulated to by the parties in the Contract. See id. at 63. The fifth defense is inapplicable because the Award was issued on December 7, 2021, and thus, is binding. See id. at 59-74. The sixth defense is inapplicable because this action involves a contract dispute, and courts have held contract disputes are capable of settlement by arbitration. See, e.g., TMCQ Ltd. v. Green Light Energy Solutions R&D Corp., No. 4:17-cv-00997-KAW, 2017 WL 5450762, at *4 (N.D. Cal. Nov. 14, 2017) (confirming an arbitral award made in London arising from a contract dispute); BU8 Sdn. Bhd. v. CreAgri, Inc., No. C-14-4503-EMC, 2015 WL 1010090, at *9 (N.D. Cal. Mar. 6, 2015) (confirming an arbitral award made in Singapore arising from a contract dispute). The seventh defense is inapplicable because no evidence exists to support a finding that confirming the Award would be contrary to public policy. See Consim Info Pvt. Ltd. v. Burning Glass Int'l, Inc., No. 11-1053-IEG-MDDx, 2011 WL 13356183, at *3 (S.D. Cal. Nov. 8, 2011) (finding enforcement of a foreign arbitral award related to a standard commercial contract dispute would not be contrary to public policy).
- [10]. Lastly, as mentioned previously, Respondent UCFTI has not filed an opposition to the Motion or asserted any other challenges to enforcement. Thus, confirming the Award will not run afoul of the seven defenses provided by Article V of the Convention. Therefore, having jurisdiction and Respondent UCFTI having failed to meet its burden of establishing a defense under Article V of the Convention applies, the Court **GRANTS** the Petition.

B. PETITIONER'S APPLICATION FOR DEFAULT JUDGMENT IS GRANTED

1. Applicable law

- [11]. The decision to grant or deny an application for default judgment under Fed. R. Civ. P. 55(b)(2) is discretionary. Allstate Life Ins. Co. v. Markowitz, 590 F. Supp. 3d 1210, 1215 (C.D. Cal. 2022) (citing Aldabe v. Aldabe, 616 F.2d 1089, 1092 (9th Cir. 1980)). In determining whether to enter default judgment against a party, a court considers the following factors: (1) the possibility of prejudice to the plaintiff, (2) the merits of the plaintiff's substantive claims, (3) the sufficiency of the complaint, (4) the sum of money at stake in the action, (5) the possibility of a dispute concerning material facts, (6) whether the default was due to excusable neglect, and (7) the strong policy underlying the Federal Rules of Civil Procedure favoring decisions on the merits. Eitel v. McCool, 782 F.2d 1470, 1471-72 (9th Cir. 1986).
- [12]. Under this Court's Local Rules, an application for default judgment must be accompanied by a declaration setting forth: when, and against what party, default was entered; the pleading to which default was entered; whether the defaulting party is an infant or incompetent person; that the Servicemembers Civil Relief Act, 50 U.S.C. § 3931, does not apply; and that notice has been served on the defaulting party, if required. L.R. 55-1. The party applying for default judgment must also provide the defaulting party with notice of the application if the defaulting party has appeared in the action or the applicant seeks unliquidated damages. Fed. R. Civ. P. 55(b)(2); L.R. 55-2.
- [13]. The Court need not make detailed findings of fact in the event of a default judgment. Adriana Int'l Corp. v. Thoeren, 913 F.2d 1406, 1414 (9th Cir. 1990). "The general rule of law is that upon default the factual allegations of the complaint, except those relating to the amount of damages, will be taken as true." Geddes v. United Fin. Grp., 559 F.2d 557, 560 (9th Cir. 1977); *see also* Fed. R. Civ. P. 8(b)(6) ("An allegation—other than one relating to the amount of damages—is admitted if a responsive pleading is required and the allegation is not denied. If a responsive pleading is not required, an allegation is considered denied or avoided."). Allegations as to the amount of damages must be proven. TeleVideo Sys., Inc. v. Heidenthal, 826 F.2d 915, 917-18 (9th Cir. 1987). Furthermore, "a 'defendant is not held to admit facts that are not well-pleaded or to admit conclusions of law.'" DIRECTV, Inc. v. Huynh, 503 F.3d 847, 854 (9th Cir. 2007) (quoting Nishimatsu Constr. Co. v. Houston Nat'l Bank, 515 F.2d 1200, 1206 (5th Cir. 1975)).

2. Analysis

- [14]. As a preliminary matter, Petitioner presents a declaration which adequately addresses the requirements set forth in the Federal Rules of Civil Procedure and the Court's Local Rules. Petitioner has submitted a declaration that complies with Local Rule 55-1 and affirms that notice of the application is not required under Federal Rule of Civil Procedure 55(b)(2) and Local Rule 55-1 because UCFTI did not appear in this action. *See* Dkt. 17-2, Declaration of Kaisheng Yang ("Yang Decl."), ¶ 7. Additionally, Respondent UCFTI is a corporation and, therefore, is not a minor, an incompetent person, or currently a member of the military service. *Id.* ¶ 8.
- [15]. In addition, the Court finds the seven Eitel factors weigh in favor of entering default judgment. The first factor favors entry of default judgment because Respondent has failed to respond to the instant

Petition, thus leaving Petitioner with no other recourse for recovery other than default judgment. See Amini Innovation Corp. v. KTY Int'l Mktg., 768 F. Supp. 2d 1049, 1056 (C.D. Cal. 2011) (finding prejudice to plaintiff favored entering default judgment because, "[i]f the Court does not enter a default judgment, it will allow [the defendant] to avoid liability by not responding to [the plaintiff's] claims"). The second and third factors favor entry of default judgment because Petitioner has sufficiently alleged a contractual relationship and dispute between it and Respondent UCFTI; presented a foreign arbitral award against Respondent in favor of Petitioner; and the Court finds the Petition should be granted. In addition, Respondent UCFTI has not filed an opposition to the Motion. The fourth factor favors entry of default judgment because Petitioner is seeking only the amount of monies and damages owed pursuant to the Contract. See Dkt. 1 at 25. The fifth factor favors entry of default judgment because, in light of the apparent unwillingness of UCFTI to participate further in this matter or challenge the allegations in the Petition, the possibility of any dispute as to material facts is remote. See Wecosign, Inc. v. IFG Holdings, Inc., 845 F. Supp. 2d 1072, 1083 (C.D. Cal. 2012) (finding "possibility of dispute concerning material facts" diminished due to defendants' "subsequent failure to contest [p]laintiff's claims"). The sixth factor favors entry of default judgment because Respondent participated in the arbitration proceedings, initially appeared in this action, and yet failed to file a responsive pleading or oppose this application. See Primerica Life Ins. Co. v. Annalyn Ngo, CV 23-1478-JLS-AFMx, 2023 WL 7308310 at *4 (C.D. Cal. Oct. 20, 2023) (finding sixth factor favored entry of default judgment due to defendant being served and thus aware of litigation, making it less likely defendant's failure to litigate was a product of excusable neglect); see also Craigslist, Inc. v. Naturemarket, Inc., 694 F.Supp.2d 1039, 1061 (N.D. Cal. 2010) (finding evidence that defendants were "clearly aware of the pending litigation" rendered it unlikely their failure to litigate resulted from excusable neglect and favored entering default judgment). Finally, while the seventh factor, the policy favoring decisions on the merits, "always weighs against default judgment," Amini Innovation Corp., 768 F. Supp. 2d at 1056, this factor, "standing alone, is not dispositive." PepsiCo, Inc. v. Cal. Sec. Cans, 238 F. Supp. 2d 1172, 1177 (C.D. Cal. 2002). Here, the apparent unwillingness of Respondent to participate in this action "makes a decision on the merits impractical, if not impossible." See id. Thus, the policy favoring decisions on the merits does not preclude entering default judgment. See id.; see also Wecosign, Inc., 845 F. Supp. 2d at 1083 (finding default judgment appropriate when "a decision on the merits is impossible").

- [16]. Ultimately, the Court finds all seven relevant factors weigh in favor of entering default judgment. Accordingly, the Court **GRANTS** Petitioner's Motion for Default Judgment.

III. CONCLUSION

- [17]. Accordingly, the Court hereby **GRANTS** Petitioner's Petition for Confirmation, Recognition, and Enforcement of Foreign Arbitral Awards against UCFTI and **GRANTS** Petitioner's Motion for Default Judgment against UCFTI.

IT IS SO ORDERED.